THE SMITH FAMILY TRUST

A Joint Revocable Living Trust

Dated **_____, 20____**

JOHN ALBERT SMITH and **MARY BETH SMITH**
Trustors and Trustees

TABLE OF CONTENTS

Article One Establishment of the Trust.....2
Article Two Family Information.....2
Article Three Trust Property.....3
Article Four Rights Reserved by the Trustors.....4
Article Five Trustees.....5
Article Six Incapacity.....6
Article Seven Administration After the Death of the First Trustor.....6
Article Eight Disclaimer Trust.....8
Article Nine The Survivor's Trust.....9
Article Ten Distribution After the Deaths of Both Trustors.....9
Article Eleven Trusts for Beneficiaries.....10
Article Twelve Trustee Powers.....12
Article Thirteen Retirement Benefits and Special Assets.....14
Article Fourteen General Provisions.....14

THE SMITH FAMILY TRUST

Joint Revocable Living Trust Agreement

This Trust Agreement is made on **_____, 20____**, by **JOHN ALBERT SMITH** and **MARY BETH SMITH**, residents of Los Angeles County, California, as Trustors (together, the "Trustors," and each, a "Trustor"), and JOHN ALBERT SMITH and MARY BETH SMITH, as the initial trustees (together with every successor, the "Trustee").

ARTICLE ONE
ESTABLISHMENT OF THE TRUST

1.1 **Name of the Trust.** This trust shall be known as **The Smith Family Trust**, dated **_____, 20____**. Title to trust property may be taken in the name of "John Albert Smith and Mary Beth Smith, Trustees of The Smith Family Trust, dated **_____, 20____**," or in the name of any then acting Trustee in that capacity, and any reference to the trust in that or a substantially similar form shall be effective.

1.2 **Declaration of Trust.** The Trustors transfer to the Trustee, and the Trustee accepts and agrees to hold, the property described on the attached Schedules A, B, and C, together with all property later added to the trust (the "Trust Estate"), in trust, to be administered and distributed as provided in this instrument.

1.3 **Revocable Grantor Trust.** While both Trustors are living, this trust is revocable as provided in Article Four. Each Trustor intends to be treated as the owner of that Trustor's share of the trust for federal and California income tax purposes under Sections 671 through 677 of the Internal Revenue Code, and the Trustee may report trust income under the Social Security number of either Trustor as permitted by Treasury Regulations Section 1.671-4.

1.4 **Purposes.** The Trustors create this trust to manage their property during their lifetimes, to provide for each of them during any period of incapacity, to avoid probate and conservatorship proceedings, and to provide for the orderly transfer of their property at death.

1.5 **Effective Date.** This instrument takes effect when signed by the Trustors, whether or not any property has then been transferred to the Trustee.

ARTICLE TWO
FAMILY INFORMATION

2.1 **Marriage.** The Trustors are married to each other and were married on June 15, 2001.

2.2 **Children.** The Trustors have the following children:

(a) **Emma Rose Smith**, born March 4, 2012.

(b) **Liam James Smith**, born July 21, 1995.

(c) **Olivia Jones**, the child of Mary Beth Smith, born January 15, 1990.

(d) **Noah Smith**, who is deceased and is survived by issue.

Each child named above who is the child of only one Trustor, and the issue of that child, shall be treated for every purpose of this instrument as a child and issue of both Trustors.

2.3 **Later Children.** References to the children of the Trustors include any child later born to or adopted by the Trustors together. A person adopted before reaching age eighteen is treated as a child of the adopting parent.

2.4 **Intentional Omission.** Except as otherwise provided in this instrument, the Trustors have intentionally, and with full knowledge, omitted to provide for any of their heirs, including any person who claims to be a child or spouse of either Trustor. Without limiting the preceding sentence, the Trustors intentionally make no provision for Robert Smith (brother).

ARTICLE THREE
TRUST PROPERTY

3.1 **Trust Estate.** The Trust Estate consists of the property listed on the Schedules, the property transferred by the Trustors' General Assignment of even date, and all other property later transferred to the Trustee by either Trustor or by any other person, by lifetime transfer, will, beneficiary designation, or otherwise, with the Trustee's consent.

3.2 **Community Property.** Property transferred to the trust as community property, and its proceeds and income, shall remain the community property of the Trustors while both are living, as provided in Family Code Section 761. Property described on Schedule A is the community property of the Trustors. For purposes of this instrument, quasi-community property is treated as community property.

3.3 **Separate Property.** Property transferred to the trust as the separate property of a Trustor, and its proceeds and income, shall remain the separate property of that Trustor. Property described on Schedule B is the separate property of John Albert Smith, and property described on Schedule C is the separate property of Mary Beth Smith. The Trustee shall maintain records sufficient to identify the character of all trust property.

3.4 **Effect on Character.** Except as provided in this Article, neither the transfer of property to the trust nor the way property is titled or listed shall change its character as community or separate property. The Trustors may change the character of property only by a written agreement that satisfies Family Code Section 852.

3.5 **Property Held Under Other Names.** Any property titled in the name of a Trustor under a variation of that Trustor's name, including "Mary B. Jones" for Mary Beth Smith, that the Trustors intend to be held in this trust is trust property.

3.6 **Retirement Plans and Life Insurance.** Interests in retirement plans, individual retirement accounts, annuities, and life insurance are not transferred to the trust by this instrument or by the General Assignment. They pass according to their beneficiary designations, which may name the Trustee.

3.7 **Additions.** Any person may add property acceptable to the Trustee to the trust by lifetime transfer, will, beneficiary designation, or otherwise. Property added by reason of the death of a Trustor shall be administered as part of that Trustor's share.

ARTICLE FOUR
RIGHTS RESERVED BY THE TRUSTORS

4.1 **Income and Principal During Joint Lifetimes.** While both Trustors are living, the Trustee shall pay to or apply for the benefit of the Trustors as much of the net income and principal of the community property as either Trustor requests, and to or for the benefit of each Trustor as much of the net income and principal of that Trustor's separate property as that Trustor requests. Absent a request, the Trustee shall distribute or accumulate income and principal as the Trustee considers advisable for the Trustors' health, support, and comfort.

4.2 **Revocation.** While both Trustors are living: (a) either Trustor may revoke this trust as to community property, in which case the Trustee shall promptly deliver that property to the Trustors as their community property; and (b) a Trustor may revoke this trust as to that Trustor's separate property, in which case the Trustee shall promptly deliver that property to that Trustor. A revocation is made by a signed writing delivered to the other Trustor and to the Trustee.

4.3 **Amendment.** While both Trustors are living, this instrument may be amended only by a writing signed by both Trustors and delivered to the Trustee, except that a Trustor alone may amend the provisions governing that Trustor's separate property in a manner that does not affect the other Trustor's interests.

4.4 **After the Death of a Trustor.** After the death of the first Trustor to die, the Surviving Trustor may amend, revoke, or terminate the Survivor's Trust in whole or in part, and may withdraw any of its property. The Disclaimer Trust shall be irrevocable, and the Surviving Trustor may not amend, revoke, or terminate it. After the death of both Trustors, this instrument may not be amended or revoked.

4.5 **Exclusive Method; Personal Powers.** The methods of revocation and amendment stated in this Article are exclusive. The powers to revoke and amend are personal to each Trustor and may not be exercised by a conservator or other legal representative. An agent acting under a durable power of attorney may exercise these powers only to the extent the power of attorney expressly authorizes it, as provided in Probate Code Section 4264.

4.6 **Residence.** Each Trustor retains the right to possess and occupy, for life and rent free, any residence held in the trust. The Trustors intend this right to preserve their eligibility for the homeowners' property tax exemption, the exclusion of gain under Section 121 of the Internal Revenue Code, and the trust-transfer exclusion from reassessment under Revenue and Taxation Code Section 62(d).

ARTICLE FIVE
TRUSTEES

5.1 **Initial Trustees.** The Trustors, John Albert Smith and Mary Beth Smith, are the initial Trustees. While both serve, either of them acting alone may exercise any power of the Trustee, and any person may rely on the signature of either Trustee alone.

5.2 **Surviving or Remaining Trustor.** If either Trustor dies, resigns, or becomes incapacitated, the other Trustor shall serve as sole Trustee.

5.3 **Successor Trustees.** If both Trustors have died, resigned, or become incapacitated, the following shall serve as successor Trustee, one at a time, in the order listed:

(a) Liam James Smith (son);

(b) Olivia Jones (daughter).

A successor listed later serves only if each successor listed earlier has died, resigned, become incapacitated, or declined to serve.

5.4 **Vacancy.** If no named successor is able and willing to serve, the last serving Trustee may appoint a successor in a signed writing. Failing that appointment, a majority of the adult beneficiaries then entitled to receive income (with the parent or guardian acting for any minor or incapacitated beneficiary) may appoint an individual or a bank or trust company as successor Trustee. If no successor is appointed within sixty days, any interested person may petition the court to appoint one under Probate Code Section 15660.

5.5 **Resignation.** A Trustee may resign by giving at least thirty days' written notice to the Trustors, if living, and otherwise to the co-Trustee (if any), the next successor Trustee, and the adult beneficiaries then entitled to receive income, as provided in Probate Code Section 15640.

5.6 **Removal.** While living and not incapacitated, the Trustors (or the Surviving Trustor) may remove any Trustee by a signed writing delivered to that Trustee. After the death of both Trustors, a majority of the adult beneficiaries then entitled to receive income may remove any bank or trust company serving as Trustee and replace it with another bank or trust company. Nothing in this Section limits the court's power to remove a Trustee.

5.7 **Bond.** No bond shall be required of any Trustee named or appointed under this instrument.

5.8 **Compensation.** Each Trustee is entitled to reasonable compensation for services rendered. A bank or trust company may be compensated according to its published fee schedule. Every Trustee shall be reimbursed for reasonable expenses properly incurred in administering the trust.

5.9 **Liability of Successor Trustees.** A successor Trustee has no duty to examine the accounts or actions of a prior Trustee and is not liable for any act or omission of a prior Trustee. An individual Trustee who acts in good faith is not liable for any loss to the trust, except a loss

caused by that Trustee's gross negligence, willful misconduct, or bad faith, subject to Probate Code Section 16461.

5.10 **Certification of Trust.** Any Trustee may furnish a certification of trust under Probate Code Section 18100.5, and any person may rely on it without seeing this instrument.

ARTICLE SIX
INCAPACITY

6.1 **Determination of Incapacity.** A Trustor or an individual Trustee is incapacitated if any of the following occurs:

(a) two licensed physicians who have examined the person certify in writing that the person is unable to manage the person's own financial affairs or to administer the trust prudently;

(b) a court of competent jurisdiction determines that the person lacks the capacity to manage the person's financial resources or to serve as trustee; or

(c) the person has disappeared, or is held against the person's will, for more than thirty consecutive days.

A person regains capacity in the same manner, by a written physician certificate or a court determination. Any third party may rely on a certificate delivered under this Section without further inquiry.

6.2 **Authorization to Release Health Information.** Each Trustor and each individual Trustee authorizes every physician, health care provider, and health plan to disclose to any successor Trustee named in this instrument the individually identifiable health information needed to determine that person's capacity. This authorization is intended to comply with the federal Health Insurance Portability and Accountability Act (45 C.F.R. Section 164.508) and the California Confidentiality of Medical Information Act (Civil Code Section 56.11), and it remains effective until two years after the death of the person giving it.

6.3 **Administration During Incapacity.** While a Trustor is incapacitated, the Trustee shall pay to or apply for the benefit of that Trustor, the other Trustor, and any person dependent on them, as much of the income and principal of the trust (using first that Trustor's share of community property and separate property) as the Trustee considers necessary for their health, support, and maintenance in their accustomed manner of living. The Trustors prefer to remain in their home, and the Trustee shall pay for in-home care when reasonably possible. The powers of revocation and amendment of an incapacitated Trustor are suspended during the incapacity.

ARTICLE SEVEN
ADMINISTRATION AFTER THE DEATH OF THE FIRST TRUSTOR

7.1 **Definitions.** The "Deceased Trustor" is the first Trustor to die, and the "Surviving Trustor" is the other Trustor. If the Trustors die under circumstances in which the order of their deaths cannot be established by clear and convincing evidence, each Trustor shall

be treated as having survived the other for purposes of that Trustor's share of community property and separate property, as provided in Probate Code Sections 103 and 220.

7.2 **Payment of Expenses.** On the death of the Deceased Trustor, the Trustee may pay from the Deceased Trustor's Share (defined below) the Deceased Trustor's legally enforceable debts (other than debts secured by real or personal property, which need not be paid before they are due), last illness and funeral expenses, expenses of administration, and any estate or inheritance taxes attributable to the Deceased Trustor's Share, except to the extent they are paid from other sources.

7.3 **Specific Gifts at the First Death.** The Trustee shall distribute the following gifts from the Deceased Trustor's Share:

(a) If John Albert Smith is the Deceased Trustor: The following property: my 1965 Ford Mustang, VIN 5F08C123456 to Liam James Smith (son). If the beneficiary does not survive to receive this gift, the gift shall lapse and become part of the residue.

A gift designated for the death of a Trustor who is instead the Surviving Trustor shall be made at the Surviving Trustor's death as provided in Article Ten.

7.4 **Division of the Trust Estate.** After the death of the Deceased Trustor, the Trustee shall divide the Trust Estate, including any property added by reason of the Deceased Trustor's death, into two shares:

(a) the "Survivor's Share," consisting of the Surviving Trustor's interest in the community property and the Surviving Trustor's separate property; and

(b) the "Deceased Trustor's Share," consisting of the Deceased Trustor's interest in the community property and the Deceased Trustor's separate property.

The Trustee may divide community property on a non-pro-rata basis, allocating whole assets to either share, so long as each share receives property of equal aggregate value. The Survivor's Share shall be held as the "Survivor's Trust" under Article Nine.

7.5 **Disposition of the Deceased Trustor's Share.** The Trustee shall add the balance of the Deceased Trustor's Share to the Survivor's Trust, except that any portion of it (or of any interest in it) that the Surviving Trustor, or the Surviving Trustor's legal representative, effectively disclaims shall be held as the "Disclaimer Trust" under Article Eight.

7.6 **Disclaimer.** The Surviving Trustor may disclaim all or any portion of the Deceased Trustor's Share, including a fractional or pecuniary portion defined by formula, by a written disclaimer that satisfies Section 2518 of the Internal Revenue Code and Probate Code Sections 275 through 295 (generally within nine months after the Deceased Trustor's death and before accepting any benefit of the disclaimed property). The Surviving Trustor may serve as Trustee of the Disclaimer Trust.

7.7 **Portability Election.** The Trustee (or the Deceased Trustor's executor) shall timely file a federal estate tax return electing portability of the Deceased Trustor's unused exclusion amount under Section 2010(c)(5)(A) of the Internal Revenue Code, unless the

Surviving Trustor directs otherwise in writing. The cost of the return shall be paid from the Survivor's Trust unless the Trustee determines that another allocation is fairer.

7.8 **Tax Identification and Records.** After the Deceased Trustor's death, the Trustee shall keep separate records for each trust and shall obtain a taxpayer identification number for any trust that becomes irrevocable. The Trustee may hold the trusts as a common fund for investment.

ARTICLE EIGHT
DISCLAIMER TRUST

8.1 **Irrevocability.** The Disclaimer Trust is irrevocable and may not be amended by the Surviving Trustor or any other person.

8.2 **Income.** During the Surviving Trustor's lifetime, the Trustee shall pay to the Surviving Trustor the entire net income of the Disclaimer Trust in convenient installments, at least quarterly.

8.3 **Principal.** The Trustee may also pay to or apply for the benefit of the Surviving Trustor as much of the principal of the Disclaimer Trust as the Trustee considers necessary for the Surviving Trustor's health, education, maintenance, and support in the Surviving Trustor's accustomed manner of living. In exercising this discretion, the Trustee may consider other income and resources known to the Trustee to be reasonably available to the Surviving Trustor, and the Trustors intend that the Survivor's Trust be used first.

8.4 **Restrictions Required for a Qualified Disclaimer.** The Surviving Trustor shall have no power of appointment over the Disclaimer Trust and no power to direct the beneficial enjoyment of its property, except a power limited by the standard of health, education, maintenance, and support. If the Surviving Trustor also disclaims an interest in the Disclaimer Trust, the disclaimed interest shall pass as though the Surviving Trustor had predeceased the Deceased Trustor.

8.5 **Residence.** If a residence is held in the Disclaimer Trust, the Surviving Trustor may occupy it rent free for life. The Trustee may pay its taxes, insurance, and major repairs from the Disclaimer Trust, and may sell it and buy a replacement residence at the Surviving Trustor's request.

8.6 **Surviving Trustor as Trustee.** When the Surviving Trustor serves as Trustee of the Disclaimer Trust, the Surviving Trustor may make discretionary distributions to the Surviving Trustor only for health, education, maintenance, and support, and may not participate in any decision to make a distribution that would discharge the Surviving Trustor's legal obligation of support. The Surviving Trustor may appoint an independent co-Trustee to exercise any discretion that the Surviving Trustor cannot exercise.

8.7 **Distribution on the Surviving Trustor's Death.** On the Surviving Trustor's death, the Trustee shall distribute any undistributed income to the Survivor's Trust, and shall distribute the remaining principal of the Disclaimer Trust as provided in Article Ten. No estate tax, debt, or expense of the Surviving Trustor shall be paid from the Disclaimer Trust.

ARTICLE NINE
THE SURVIVOR'S TRUST

9.1 **Revocable Trust for the Surviving Trustor.** The Survivor's Trust remains fully revocable and amendable by the Surviving Trustor as provided in Article Four.

9.2 **Income and Principal.** During the Surviving Trustor's lifetime, the Trustee shall pay to or apply for the benefit of the Surviving Trustor the entire net income of the Survivor's Trust, at least quarterly, and as much of its principal as the Surviving Trustor requests or as the Trustee considers advisable for the Surviving Trustor's health, support, maintenance, and comfort.

9.3 **General Power of Appointment.** On the Surviving Trustor's death, the Trustee shall distribute the remaining property of the Survivor's Trust to such persons or entities, including the Surviving Trustor's estate or the creditors of the Surviving Trustor's estate, as the Surviving Trustor appoints by a will, codicil, or signed writing delivered to the Trustee that specifically refers to this power.

9.4 **Expenses at the Surviving Trustor's Death.** On the Surviving Trustor's death, the Trustee may pay from the Survivor's Trust the Surviving Trustor's legally enforceable debts, last illness and funeral expenses, expenses of administration, and all estate and inheritance taxes payable by reason of the Surviving Trustor's death on property passing under this instrument.

9.5 **Unappointed Property.** The Trustee shall distribute any property of the Survivor's Trust not effectively appointed as provided in Article Ten.

ARTICLE TEN
DISTRIBUTION AFTER THE DEATHS OF BOTH TRUSTORS

10.1 **Remaining Trust Estate.** On the death of the Surviving Trustor, the property of every trust under this instrument that is directed to be distributed under this Article (the "Remaining Trust Estate") shall be distributed as provided below.

10.2 **Specific Gifts.** The Trustee shall first make the following gifts, each free of estate tax and subject to Article Eleven:

(a) The sum of $10,000 to Sarah Lee (niece). If the beneficiary does not survive to receive this gift, the gift shall be distributed to the beneficiary's then living issue, by right of representation, or, if none, it shall lapse and become part of the residue.

(b) The sum of $2,500.50 to Pasadena Humane Society & SPCA. If the beneficiary is not in existence or is not a qualified charitable organization when this gift is to be distributed, the Trustee shall distribute this gift to one or more charitable organizations whose purposes most closely match those of the named beneficiary.

(c) If John Albert Smith is the Surviving Trustor: The following property: my 1965 Ford Mustang, VIN 5F08C123456 to Liam James Smith (son). If the beneficiary

does not survive to receive this gift, the gift shall lapse and become part of the residue.

If the property that is the subject of a specific gift is not part of the Trust Estate, the gift lapses, and no other property shall be substituted for it.

10.3 **Tangible Personal Property.** The Trustee shall distribute the Trustors' tangible personal property (including household furniture and furnishings, jewelry, clothing, books, art, and personal effects, but not cash or property used in a trade or business) in accordance with any signed and dated written memorandum left by either Trustor, the most recent controlling in case of conflict. Property not effectively disposed of by a memorandum shall be distributed to the Trustors' children who survive the Surviving Trustor, to be divided among them as they agree, or, if they do not agree within ninety days, as the Trustee determines in shares of substantially equal value. The Trustee may sell any item not wanted by a beneficiary and add the proceeds to the residue, and may pay the reasonable costs of storing and delivering items as an administration expense.

10.4 **Care of Pets.** The Trustee shall deliver our dog, Biscuit (the "Pets") to Sarah Lee, and if no named caretaker is able and willing, to a caretaker selected by the Trustee who will provide a loving home. The Trustee shall set aside $5,000 as a separate trust under Probate Code Section 15212 for the Pets' care, and may pay the caretaker reasonable amounts for food, veterinary care, and other needs of the Pets. The pet trust terminates when no Pet covered by it is living, and the Trustee shall then add any balance to the residue. The caretaker may enforce this trust.

10.5 **Residue.** The Trustee shall distribute the balance of the Remaining Trust Estate (the "residue") as follows:

The Trustee shall divide the residue into as many equal shares as there are (1) children of the Trustors who survive the Surviving Trustor and (2) children of the Trustors who do not survive the Surviving Trustor but leave issue who do. The Trustors' children are Emma Rose Smith, Liam James Smith, Olivia Jones, and Noah Smith. Each share for a surviving child shall be held or distributed for that child under Article Eleven. Each share for a deceased child shall be distributed to that child's then living issue, by right of representation, subject to Article Eleven.

10.6 **Ultimate Distribution.** If at any time no beneficiary described above is living (or in existence) to take any part of the Remaining Trust Estate, that part shall be distributed one-half to the persons who would then be the heirs of John Albert Smith, and one-half to the persons who would then be the heirs of Mary Beth Smith, in each case determined as if that Trustor had died at that time, unmarried, under the California laws of intestate succession then in effect.

ARTICLE ELEVEN
TRUSTS FOR BENEFICIARIES

11.1 **Application.** This Article governs every share of the Trust Estate that becomes distributable outright to an individual beneficiary on or after the death of the Surviving Trustor, or under Article Seven. A share distributable to a charitable organization shall be distributed outright.

11.2 **Staged Distribution Trusts.** Each share for a beneficiary shall be held as a separate trust for that beneficiary. The Trustee may distribute to or for the beneficiary as much of the net income and principal as the Trustee considers advisable for the beneficiary's health, education, maintenance, and support, adding undistributed income to principal. In addition, the Trustee shall distribute principal to the beneficiary as follows:

(a) when the beneficiary reaches age 25, one-third (1/3) of the trust principal then on hand;

(b) when the beneficiary reaches age 30, one-half (1/2) of the trust principal then on hand;

(c) when the beneficiary reaches age 35, the entire remaining balance of the trust.

If the beneficiary has already reached an age stated above when the trust is funded, the Trustee shall promptly distribute the portion attributable to that age. If the beneficiary dies before full distribution, the Trustee shall distribute the remaining trust property to the beneficiary's then living issue, by right of representation, or, if none, to the then living issue of the Trustors, by right of representation, in either case subject to this Article, or, if none, under the Ultimate Distribution Section of Article Ten.

11.3 **Young Beneficiaries.** If any property becomes distributable outright to a beneficiary who has not reached age 25, the Trustee may hold that property in a separate trust for the beneficiary, distributing as much of the income and principal as the Trustee considers advisable for the beneficiary's health, education, maintenance, and support, and shall distribute the balance to the beneficiary at age 25. If the beneficiary dies sooner, the balance shall be distributed to the beneficiary's estate. Instead of holding the property in trust, the Trustee may distribute it to a custodian for the beneficiary under the California Uniform Transfers to Minors Act, to be held until the beneficiary reaches the oldest age permitted (age 25 if permitted by Probate Code Section 3920.5).

11.4 **Supplemental Needs Trusts.** Any share or other property distributable to Olivia Jones shall not be distributed outright, but shall be held in a separate supplemental needs trust for that beneficiary under the next Section.

11.5 **Supplemental Needs Trust Terms.** If a beneficiary is disabled, receives or may need means-tested public benefits (such as Supplemental Security Income or Medi-Cal), or would lose eligibility for them by receiving a distribution, the Trustee may (and for a beneficiary named in the preceding Section shall) hold that beneficiary's share in a separate supplemental needs trust on the following terms:

(a) The Trustee may distribute income and principal, in the Trustee's sole and absolute discretion, only to supplement, and never to supplant, benefits the beneficiary receives or may receive from any public or private source. The beneficiary has no right to compel any distribution, and no part of the trust shall be considered available to the beneficiary.

(b) The Trustee may make a distribution that reduces public benefits if the Trustee determines that the beneficiary's needs will be better met by it, and may fund an

ABLE account for the beneficiary under Section 529A of the Internal Revenue Code.

(c) This trust is a third-party trust funded only with property of the Trustors. It is not subject to any reimbursement or payback requirement in favor of any public agency.

(d) On the beneficiary's death, the Trustee may pay the beneficiary's funeral expenses (to the extent this does not create a claim by a public agency) and shall distribute the balance to the beneficiary's then living issue, by right of representation, or, if none, to the then living issue of the Trustors, by right of representation, subject to this Article.

11.6 **Discretion to Delay Distribution.** If the Trustee reasonably believes that a beneficiary is suffering from substance abuse, is the subject of a pending divorce, bankruptcy, or creditor claim, or would otherwise be unable to manage a distribution prudently, the Trustee may delay any outright distribution to that beneficiary and continue to hold the property in trust for the beneficiary's health, education, maintenance, and support until the Trustee determines that the circumstance no longer exists.

11.7 **Facility of Payment.** The Trustee may make any distribution for a beneficiary directly to the beneficiary, to the beneficiary's guardian or conservator, to a custodian under any Uniform Transfers to Minors Act, or by paying the beneficiary's expenses directly. The receipt of the payee is a complete discharge of the Trustee.

ARTICLE TWELVE
TRUSTEE POWERS

12.1 **General Powers.** The Trustee has all powers conferred on trustees by California law, including Probate Code Sections 16200 through 16249, as amended, and in addition the powers stated below, all of which the Trustee shall exercise in a fiduciary capacity:

(a) to retain any property received, including a residence and closely held business interests, for as long as the Trustee considers advisable, without regard to diversification;

(b) to invest and reinvest in any kind of property, subject to the Uniform Prudent Investor Act (Probate Code Section 16045 and following);

(c) to sell, exchange, grant options on, partition, or otherwise dispose of any property, publicly or privately, for cash or on credit;

(d) to manage, improve, subdivide, lease (for terms beyond the duration of any trust), and otherwise deal with real property;

(e) to borrow money for any trust purpose, from any lender, including a Trustee, and to encumber trust property;

(f) to hold securities in the name of a nominee or in street name;

(g) to open and maintain deposit, brokerage, and other accounts, and to employ and pay investment advisers, accountants, attorneys, and other agents;

(h) to continue, form, or participate in any business entity, and to vote and exercise all rights of an owner;

(i) to purchase and maintain insurance of any kind;

(j) to make, or refrain from making, any tax election, including elections to treat a trust as a qualified subchapter S trust or electing small business trust;

(k) to inspect and monitor trust property for environmental conditions and to take any action necessary to comply with environmental law;

(l) to prosecute, defend, compromise, or abandon claims in favor of or against the trust;

(m) to make loans to, purchase property from, or otherwise deal with the estate of either Trustor on fair terms;

(n) to divide any trust into separate trusts, or to combine trusts with substantially identical terms, when doing so will not materially impair any beneficiary's interests;

(o) to make distributions in cash or in kind, or partly in each, and on a non-pro-rata basis, valuing assets at their fair market values on the date of distribution;

(p) to allocate receipts and disbursements between income and principal under the California laws governing fiduciary income and principal in effect from time to time, and, when those laws do not provide a rule, in the Trustee's reasonable discretion;

(q) to terminate any trust whose value has become so low that continued administration is uneconomical, distributing the property to the persons then entitled to income;

(r) to change the situs of any trust to another jurisdiction if the Trustee determines that the change is in the beneficiaries' best interests; and

(s) to do all other acts that a prudent owner of property would do, without the need for court authorization.

12.2 **Claims and Reassessment Exclusions.** The Trustee may file claims for any available exclusion from property tax reassessment, including the parent-child exclusion under Revenue and Taxation Code Section 63.2, and may allocate a residence to a beneficiary to preserve an exclusion.

ARTICLE THIRTEEN
RETIREMENT BENEFITS AND SPECIAL ASSETS

13.1 **Retirement Benefits.** If the Trustee is the beneficiary of an individual retirement account or qualified retirement plan ("Retirement Benefits"):

(a) the Trustee may exercise every payout election available and shall withdraw at least any required minimum distribution each year;

(b) the Trustors intend each trust that receives Retirement Benefits to qualify as a "see-through" trust under Section 401(a)(9) of the Internal Revenue Code and the Treasury Regulations, and the Trustee shall deliver the required trust documentation to the plan administrator by October 31 of the year following the year of death;

(c) no Retirement Benefits shall be used to pay debts, taxes, or expenses of a Trustor's estate after September 30 of the year following the year of the Trustor's death if doing so would cause a trust to fail to qualify as a see-through trust; and

(d) the Trustee may divide Retirement Benefits into separate shares for each beneficiary and may distribute any Retirement Benefits received to the beneficiary for whom they are held.

13.2 **Digital Assets.** The Trustee may access, manage, copy, transfer, deactivate, and delete the Trustors' digital assets and electronic communications (including their content) and the devices and accounts on which they are stored. Each Trustor consents to the disclosure of the content of that Trustor's electronic communications to the Trustee under the California Revised Uniform Fiduciary Access to Digital Assets Act (Probate Code Section 870 and following).

13.3 **Firearms.** If the Trust Estate includes firearms or ammunition, the Trustee shall possess, store, transfer, and distribute them only in compliance with all applicable federal and California law, including the Penal Code requirements for transfers through a licensed dealer. No Trustee who is prohibited from possessing a firearm may take possession of one; such a Trustee shall appoint, in a signed writing, a special Trustee who may lawfully possess firearms to act with respect to them. The Trustee may sell any firearm that cannot lawfully be distributed to a beneficiary and add the proceeds to that beneficiary's share.

ARTICLE FOURTEEN
GENERAL PROVISIONS

14.1 **Spendthrift Provision.** No beneficiary may voluntarily or involuntarily anticipate, assign, or encumber any interest in income or principal before actual receipt, and no interest shall be subject to the claims of a beneficiary's creditors or to legal process, to the fullest extent permitted by Probate Code Sections 15300 through 15309. This Section does not apply to a Trustor's interest in the trust.

14.2 **No-Contest Clause.** If any beneficiary, alone or with others, directly or indirectly brings or joins in any of the following, that beneficiary shall take nothing under this

instrument, and the beneficiary's interest shall pass as though the beneficiary had predeceased both Trustors without issue:

(a) a direct contest, as defined in Probate Code Section 21310, of this instrument, any amendment to it, either Trustor's will, or any other protected instrument, brought without probable cause;

(b) a pleading to challenge a transfer of property on the ground that it was not the transferor's property at the time of the transfer; or

(c) the filing of a creditor's claim or prosecution of an action based on it.

This Section shall be enforced only to the extent permitted by Probate Code Sections 21310 through 21315. "Protected instrument" has the meaning given in Probate Code Section 21310 and includes every instrument signed by either Trustor that disposes of property or nominates a fiduciary.

14.3 **Survivorship.** A beneficiary (other than a Trustor) who does not survive the person on whose death a distribution depends by 30 days shall be treated as having predeceased that person. No survivorship period applies between the Trustors, and the Surviving Trustor need only survive the Deceased Trustor.

14.4 **Definitions.** In this instrument:

(a) "Issue" means lineal descendants of all degrees, including persons adopted before reaching age eighteen, and "children" means the first generation of issue.

(b) A distribution to issue "by right of representation" shall be divided in the manner provided in Probate Code Section 246.

(c) "Education" includes tuition, books, room, board, and related expenses at any accredited school, college, graduate, vocational, or technical program.

(d) "Trustee" refers to the trustee or co-trustees serving at the time, whether original or successor, and the singular includes the plural and each gender includes the others.

(e) "Internal Revenue Code" means the Internal Revenue Code of 1986, as amended, and corresponding provisions of later law.

14.5 **Accounts and Notices.** While both Trustors are living, the Trustee owes duties only to the Trustors and need not account to any other beneficiary (Probate Code Section 15800). After a trust or any part of it becomes irrevocable, the Trustee shall serve the notification required by Probate Code Section 16061.7 and shall account as required by Probate Code Section 16062, except to the extent a beneficiary waives the account in writing.

14.6 **Perpetuities.** Unless sooner terminated, every trust created under this instrument shall terminate one day before the end of the period permitted by the California Uniform Statutory Rule Against Perpetuities (Probate Code Section 21200 and following), and the Trustee shall then distribute the property to the persons then entitled to receive income.

14.7 **Governing Law.** This instrument shall be governed by the law of California, regardless of the situs of administration.

14.8 **Severability and Headings.** If any provision of this instrument is unenforceable, the remaining provisions shall remain in effect. Headings are for convenience only and do not affect meaning.

Execution. The Trustors certify that they have read this Trust Agreement, that it correctly states the terms and conditions under which the Trust Estate is to be held, administered, and distributed, and that they approve it. The Trustees accept the trust and agree to administer it according to its terms.

Signed on _____**, 20**____, at _____ County, California.

TRUSTORS AND TRUSTEES:

_____
JOHN ALBERT SMITH
Trustor and Trustee

_____
MARY BETH SMITH
Trustor and Trustee

CALIFORNIA ALL-PURPOSE ACKNOWLEDGMENT

A notary public or other officer completing this certificate verifies only the identity of the individual who signed the document to which this certificate is attached, and not the truthfulness, accuracy, or validity of that document.

State of California)
County of _____)

On _____ before me,
_____ (insert name and title of the officer),
personally appeared
_____, who proved to me on the basis of satisfactory evidence to be the person(s) whose name(s) is/are subscribed to the within instrument and acknowledged to me that he/she/they executed the same in his/her/their authorized capacity(ies), and that by his/her/their signature(s) on the instrument the person(s), or the entity upon behalf of which the person(s) acted, executed the instrument.

I certify under PENALTY OF PERJURY under the laws of the State of California that the foregoing paragraph is true and correct.

WITNESS my hand and official seal.

Signature _____ (Seal)

SCHEDULE A

Community Property of John Albert Smith and Mary Beth Smith

The Smith Family Trust, dated ***_____, 20____***

The Trustors declare that the following property is their community property and transfer it to the Trustee:

1. Residence at 123 Main Street, Pasadena, California 91101 (Assessor's Parcel No. 5730-012-034).

2. Chase checking account ending in 1234.

3. All of the Trustors' community property interest in their household furniture and furnishings, jewelry, art, and other tangible personal property, and all other community property assigned to the Trustee by the Trustors' General Assignment of even date.

SCHEDULE B

Separate Property of John Albert Smith

The Smith Family Trust, dated ***_____, 20____***

John Albert Smith declares that the following property is John Albert Smith's separate property and transfers it to the Trustee:

None at the date of signing. Separate property of John Albert Smith added later shall be listed on an amended Schedule B or identified in the instrument of transfer.

SCHEDULE C

Separate Property of Mary Beth Smith

The Smith Family Trust, dated ***_____, 20____***

Mary Beth Smith declares that the following property is Mary Beth Smith's separate property and transfers it to the Trustee:

1. Schwab brokerage account ending in 5555 (inheritance).